



RAINING DISCOUNTS A delay in monsoon, heatwaves, and the Lok Sabha elections are some reasons for sluggish demand

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patch between April and September, followed by the 17-day period of *Shradh*, considered an inauspicious time by Hindus, according to Singh. “Discounts will continue for the next two months only,” says Singh.

HIGH INVENTORY

Auto dealers usually have a stock of up to 35 days. But FADA says the inventory level is currently at 62-67 days as OEMs have flooded the market with significant stock.

Singhania believes the inventory level is likely to be similar going forward.

Singh, on the contrary, expects inventory levels to normalise by the end of the year. “It (inventory levels) will get corrected. Dealers need to rotate money. So, they will not accept more stock from manufacturers,” says Singh.

A delay in the monsoon, an extreme heatwave, and the Lok Sabha elections are some reasons for sluggish demand. But, analysts are also citing a general slowdown in the auto industry. Deloitte’s Singh says the slowdown began in January.

The global slowdown in the industry began in FY23. Post-Covid,

IN FOURTH GEAR

1 Maruti Suzuki has extended its Special Edition Dream Series for Celerio and Alto K10 to July

2 Maruti Suzuki, India’s largest carmaker, is offering discounts of up to ₹1 lakh on select models

3 Tata Motors and M&M are offering discounts of up to ₹1.4 lakh on some models like Tata Safari

4 Honda is offering discounts up to ₹96,000 on models like Amaze, City, and Elevate

there was pent-up demand that led to a sudden uptick in sales. A change in consumer preference, from demand for goods to demand for services, is the reason behind the slowdown, notes Singh. The industry anticipates a contraction of 3-5% as well.

“Our demand for passenger vehicles will soften this year, because of pent-up demand [settling down]. It’s not going to be possible for us to remain at that same level always. Some corrections will happen this year. But the long-term view is still strong,” says Singh.

The industry contributes 7% to GDP and a slowdown will have ramifications. While the government expects the industry to contribute 10-12% to the GDP in the next 10 years, it is unlikely as the sector is growing at the same pace as the GDP, reasons Singh.

“The industry might continue to contribute to only about 7% or 8% of our GDP, at least in the next six to eight years. I don’t see this changing unless India decides to become a big exporter of cars, like China,” observes Singh. **BT**

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